ECON-2405

INDUSTRIAL ECONOMICS

CHAPTER 5

Monopoly and Price Discrimination

Learning Objectives

a) Understand conditions for price discrimination
b) Apply elasticity-based pricing logic
c) Analyze real-world market segmentation

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Monopoly and Price Discrimination

Price Discrimination

Answer: The monopolist has control over pricing, demand, and supply decisions, thus, sets prices in a way, so that maximum profit can be earned. The monopolist often charges different prices from different consumers for the same product. This practice of charging different prices for identical product is called price discrimination.

According to Robinson, “Price discrimination is charging different prices for the same product or same price for the differentiated product.”

Conditions of the Price discrimination

1. Existence of Monopoly
2. Separate Market
3. No Contact between Buyers
4. Different Elasticity of Demand

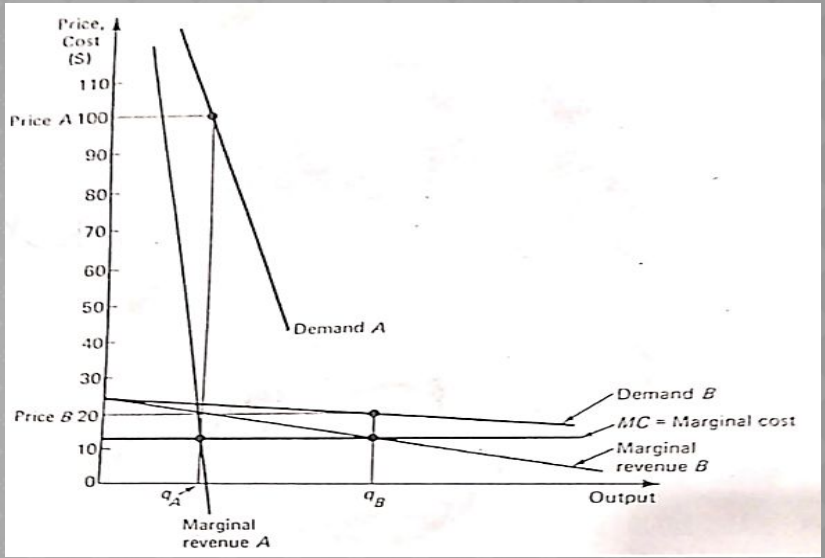
CHAPTER 5

Monopoly and Price Discrimination

The Analysis of Price discrimination

Answer: There are two cases:

Case-1: Identical Costs, Differing Prices;



Here, Group-A: Inelastic Demand and

Group-B: Highly Elastic Demand

Price for Group-A= $100

Price for Group-B=$20

Hence, the price-cost ratio becomes

$$\text{Price } A \,/\, \text{Marginal cost}_A > \text{Price } B \,/\, \text{Marginal cost}_B$$

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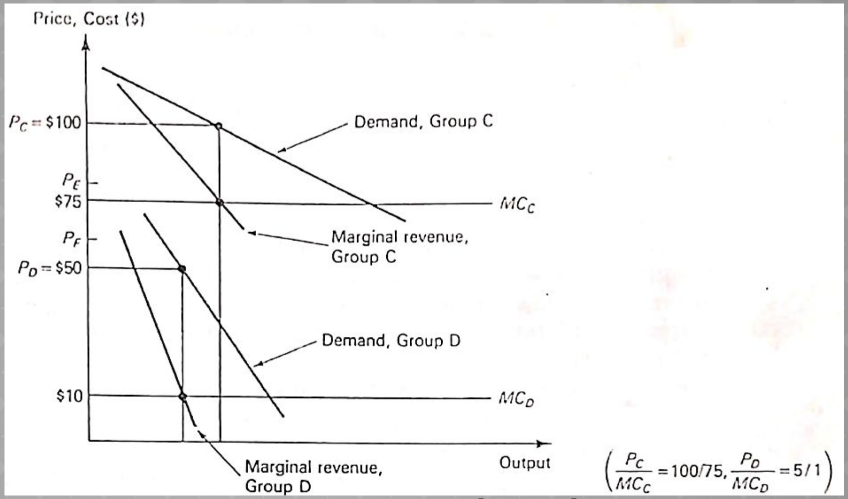
Answer: There are two cases:

Case-2: b. Price Differing Less Than Costs



Consider, MC_C= Guaranteed Airline Seat &Services=$75

MC_D= Standby Airline Seat and Services if empty= $10

Here, the standby passengers are discriminated more than the regular one as

$$\text{Price}_D / MC_D > \text{Price}_C / MC_C$$

$$\text{or, } (5/1) > (100/75)$$

THANK YOU